

STRENGTHENING THE CAPACITY OF ERITREA TO ENGAGE WITH THE GCF AND ACCESS CLIMATE FINANCE

Eritrea GCF Capacity Building Workshop Report

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Executive Summary

The Eritrea Green Climate Fund (GCF) Capacity Building Workshop was convened from 15–18 September 2025 in Asmara, Eritrea as part of the *Building Eritrea's Capacity for Effective Engagement with the Green Climate Fund* GCF Readiness project, implemented by the Sahara and Sahel Observatory (OSS).

The workshop aimed to enhance Eritrea's readiness to access and manage climate finance, with a focus on strengthening the institutional and technical capacity of the National Designated Authority (NDA). The event was facilitated by ClimFin SRL in collaboration with OSS.

The four-day event brought together 26 participants, including officials from the Ministry of Land, Water and Environment, Ministry of Finance, Ministry of Agriculture, Ministry of Energy and Mines, the Meteorological Department, and civil society representatives. A full list of participants can be found in Annex 2.

The resource team included the ClimFin SRL consulting team, Dr. Keith Bettinger and Rocio Vizuite Fernandez, and experts from OSS, Aziz Belhamra and Dr. Kaouther Hamrouni, who shared lessons from other countries in the Sahel and Horn of Africa.

The workshop provided an opportunity to strengthen Eritrea's institutional and technical capacity to engage effectively with the Green Climate Fund. Participants received practical training on the science and impacts of climate change, sources of climate finance, and the mandate, structure, and operations of the GCF. Dedicated sessions addressed the role and responsibilities of the National Designated Authority (NDA), the GCF project cycle, and the development of robust project rationales, theories of change, and logical frameworks. Special attention was given to the GCF investment criteria, environmental and social safeguards, and gender and indigenous peoples' policies, as well as monitoring and evaluation approaches.

The workshop was conducted using a participatory and interactive approach—combining presentations, facilitated discussions, group exercises, and case study analysis—which encouraged active engagement, peer learning, and the practical application of knowledge, with interactive exercises enabling participants to apply concepts to Eritrea's context by exploring the No-Objection Letter (NOL) procedure, identifying potential Direct Access Entities (DAEs), and assessing institutional capacity needs for accreditation, while sectoral consultations highlighted agriculture, water, and



energy as priority areas for future GCF project proposals that reflect Eritrea's pressing climate adaptation needs.

Pre- and post-training surveys demonstrated strong learning outcomes, with participants reporting significant improvements in their understanding of GCF processes, confidence in engaging with the Fund, and ability to support project development. Feedback confirmed high satisfaction with the quality and delivery of the workshop, with all participants rating the balance between presentations and discussions as effective, and the group exercises as particularly helpful.

The workshop underscored the importance of **continued technical support, inter-ministerial coordination**, and **inclusive stakeholder engagement** to unlock climate finance opportunities. It marked an important step in strengthening Eritrea's readiness to access international climate finance, while laying the foundation for future project development and accreditation pathways that can channel GCF resources towards the country's climate priorities.

Day 1: Climate Change Science and Climate Finance Foundations

Day 1 opened with remarks from Director General Mr. Kibrom who welcomed participants to the event and from Aziz Belhamra who introduced the Sahara and Sahel Observatory. Participants reviewed the science of climate change, its impacts on Eritrea, and the importance of robust climate rationale in project development. The concept of climate finance was introduced, including adaptation vs. mitigation finance, public and private sector engagement, and blended finance mechanisms. Details below.

Welcome remarks by Director General Mr. Kibrom Weldegebriel, GCF and UNFCCC Focal Point

Mr. Kibrom Weldegebriel welcomed OSS and ClimFin to Eritrea, emphasizing the country's commitment to building resilience against climate change. He highlighted the impacts of rising temperatures and unpredictable rainfall on agriculture, health, and livelihoods, and outlined Eritrea's efforts in ecosystem-based adaptation, soil and water conservation, energy efficiency, and sustainable transport.

The four-day workshop was framed as an opportunity to gain knowledge and tools to address these challenges, identify potential funding sources, and strengthen Eritrea's climate finance agenda. Key areas of focus include developing strong climate rationales, designing bankable projects for international funding, understanding the NDA's role in channelling resources, and applying approaches such as theory of change and paradigm shift potential.

Mr. Kibrom underscored that the insights from the workshop will be invaluable in mobilizing resources, advancing Eritrea's sustainable future, and forging a path forward. He concluded by expressing confidence that the sessions would be productive in helping secure climate finance for the country.

Introduction by the Observatory Sub-Sahara Secretariat (OSS)

The Sahara and Sahel Observatory (OSS), an international and regional organization headquartered in Tunis since 2000, introduced its mandate and ongoing work. With 48 member states and organizations, including 28 African countries including Eritrea, OSS operates through four main bodies: the General Assembly, Executive Board, Strategic Orientation Committee, and Executive Secretariat.

OSS's mission is to support African countries in the sustainable management of natural resources, with a focus on land management, water, and capacity building. The organization is accredited to the Adaptation Fund, the Green Climate Fund (GCF), and collaborates with key partners such as the World Bank and AFD, among others. To date, OSS has mobilized approximately USD 70 million.

In this context, OSS presented the *Building Eritrea's Capacity for Effective Engagement with the Green Climate Fund* GCF Readiness project, designed to help the country access and utilize GCF resources to address urgent climate priorities while overcoming procedural barriers. The project's objectives are to strengthen the NDA and GCF team, build stakeholder capacity, support the submission of concept notes, and enhance project knowledge. Running from September 2024 to June 2026 (21 months) with a

budget of USD 319,677, the project will also focus on identifying national accredited entities, developing and endorsing a GCF country programme, drafting two GCF concept notes among others.

1.1 Climate Change Science and Impacts

The session highlighted that project selection is one of the most critical steps in accessing climate finance. Projects require significant resources, and they must be grounded in a solid climate rationale, the evidence base that demonstrates how the problem being addressed is directly linked to climate change.

Participants explored the concept of climate rationale as a story that begins with the physical processes of climate change and ends with its impacts on people, supported by data at every step. This is essential for ensuring that projects submitted to the Green Climate Fund (GCF) are credible and fundable.

The GCF expects a strong climate rationale to:

- Establish credible climate science and evidence, including assessments of exposure, impacts, vulnerabilities, disaster risks, and greenhouse gas emission trajectories.
- Identify effective mitigation options with strong abatement potential and optimal adaptation interventions.
- Maximize sustainable development benefits while integrating interventions into broader **national and international policy frameworks** for long-term, low-emission, climate-resilient development.

A **key tool** introduced was the **Impact Chain Analysis**, which breaks down the climate change story into four chapters:

- **Climate Change Driver** – e.g., sea level rise, rising temperatures, changing rainfall.
- **Hazards** – e.g., floods, droughts, heat waves, saltwater intrusion.
- **Exposure pathways** – e.g., crop yield reduction, cattle loss.
- **Impacts** – e.g., malnutrition, reduced incomes, weakened livelihoods.

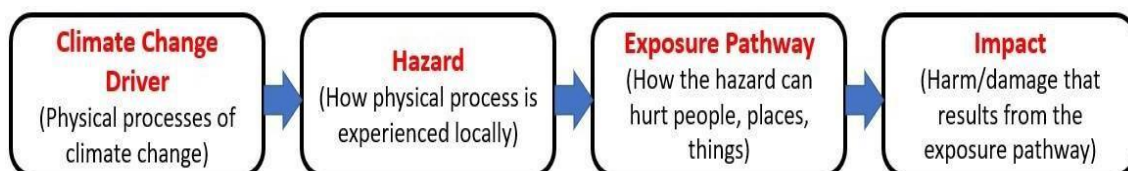


Figure 1 Excerpt from presentation materials illustrating impact chain analysis

The session also reviewed important scientific underpinnings:

- Distinguishing **weather** (short-term) from **climate** (long-term averages).
- Regional and local drivers of climate, including topography, the Red Sea, winds, and land use. In Eritrea, rapid urbanization in Asmara is already shaping the city's

climate, making land-use data particularly important for the National Adaptation Plan (NAP).

- Use of **IPCC scenarios, models, and projections** (e.g., SSPs in AR6, the global “climate science bible”) as a basis for building project rationales. Projections were stressed as estimates rather than predictions, while **downscaling** (statistical or dynamical) provides localized insights.

Overall, the session underscored that the importance of **project selection** and that building a credible climate rationale not only strengthens project selection but also helps ensure that Eritrea’s climate finance proposals are competitive and aligned with international best practice.

1.2 Group Exercise: Interactive Session: Building an NDA Toolkit Part 1: Climate Rationale

This interactive session provided participants with hands-on practice in applying the concept of **climate rationale**, a critical requirement for GCF-funded projects. The exercise centred on the importance of **project selection**, ensuring that proposed initiatives are genuinely climate-related and rooted in a robust evidence base.

The session emphasized that a strong climate rationale must:

- Clearly demonstrate that the project addresses a climate change problem.
- Align with **GCF expectations**, which include establishing credible climate science and evidence, assessing exposure, impacts, vulnerabilities, and risks, and integrating proposed interventions into broader policy frameworks.
- Use a **theory of change** to explain the problem and its drivers (A, B, C) and how project interventions (X, Y, Z) will address them.

1.3 Introduction to Climate Finance

The session provided participants with an overview of the fundamentals of climate finance, its importance, sources, and instruments. The objectives were to define climate finance, understand its scope and use, and identify key sources of funding available to developing countries like Eritrea. The session addressed several key issues:

What is Climate Finance? Climate finance is defined under the UNFCCC as “*local, national or transnational financing drawn from public, private, and alternative sources of financing to support mitigation and adaptation actions addressing climate change*”. It now also encompasses responses to loss and damage. Participants discussed how climate finance helps cover the upfront costs of action, which are outweighed by the long-term costs of inaction.

Global Trends in Climate Finance: Climate finance has grown significantly, reaching USD 1.9 trillion in 2023, with early estimates for 2024 surpassing USD 2 trillion for the first time. Average annual investment between 2021–2023 increased by 26%, compared with 8% growth in the period 2018–2020. Despite this rapid growth, a large financing gap remains: the Climate Policy Initiative (CPI) estimates that an average of USD 6.3 trillion annually (2024–2033) will be needed to avoid the worst climate impacts.

Sectoral Distribution: The largest shares of climate finance flow into mitigation, particularly energy and transport sectors, with much smaller allocations to adaptation. Adaptation finance typically supports food security, agriculture, water management, and disaster risk reduction, areas highly relevant to Eritrea's resilience priorities.

Global Climate Finance Architecture: Outlined the landscape of international climate finance, including:

- **UNFCCC Climate Funds:**
 - *Green Climate Fund (GCF)* – the largest dedicated climate fund, supporting both mitigation and adaptation, with financing instruments including grants, concessional loans, equity, and guarantees.
 - *Adaptation Fund (AF)* – focused on adaptation, especially for vulnerable countries such as SIDS and LDCs, using grant financing without co-financing requirements.
 - *Global Environment Facility (GEF)* – supports mitigation, adaptation, and enabling activities, with funding mainly through grants but also concessional loans. Includes the LDCF and SCCF.
 - *Fund for Responding to Loss and Damage (FRLD)* – newly established to support developing countries facing climate-related economic and non-economic losses. As of June 2025, pledges total USD 788.8 million.
- **Multilateral Development Banks (MDBs)** – e.g., World Bank, AfDB, EIB, which provided USD 59 billion in climate finance commitments in 2023.
- **Bilateral Sources** – such as JICA, DFID, KOICA, GIZ, and others.
- **Private Sector** – critical for closing the finance gap, though private investors often require improved risk-return profiles before investing.

Blended Finance: Blended finance was presented as a key tool to mobilize private sector participation. By strategically combining public and private funds, blended finance reduces risk and increases returns for private investors. Tools include concessional loans, guarantees, insurance, seed grants, and results-based financing.

Day 2: Introduction to the Green Climate Fund (GCF)

The second day provided an overview of the GCF mandate, priorities, and access modalities. The role of the NDA was highlighted, with a focus on strategic partnerships, country programming, and stakeholder engagement. Case studies from OSS illustrated how other NDAs in Africa had strengthened their capacities.

2.1 Introduction to the Green Climate Fund

The GCF was established in 2010 under the UNFCCC Cancun Agreements and began operations in Songdo, South Korea, in 2013. With over USD 18 billion committed to 314 projects and a total portfolio value of USD 66.5 billion, the Fund is now the largest dedicated climate finance mechanism. Its core mandate is to promote a paradigm shift towards low-emission and climate-resilient development in developing countries, with particular attention to the most vulnerable.



The GCF portfolio is split between adaptation (48%) and mitigation (52%), benefiting over 1.4 billion people with increased resilience and avoiding 3.2 billion tonnes of CO₂ equivalent. Financing is delivered through multiple instruments, including grants, concessional loans, equity, and guarantees.

Projects are assessed against six criteria: impact potential, paradigm shift potential, sustainable development potential, needs of the recipient, country ownership, and efficiency and effectiveness. These criteria ensure alignment with national climate priorities and measurable benefits.

The GCF's **Strategic Plan 2024–2027** sets out priorities to:

- Translate **NDCs, NAPs, and LT-LEDS¹** into investments.
- Serve as both a **capacity-builder and risk-tolerant financier**.
- Expand access through **Direct Access Entities (DAEs)**.
- Deliver targeted results for countries such as Eritrea, including:
 - New and improved early warning systems.
 - Climate-resilient agriculture and fisheries.
 - Greater access to adaptation finance, especially for locally led action.
 - Conservation and restoration of terrestrial and marine ecosystems.
 - Renewable energy expansion and resilient low-emission infrastructure.

Governance and Structure: The GCF is governed by a 24-member Board with equal representation of developed and developing countries. Its Secretariat manages daily operations and supports NDAs and Accredited Entities (AEs). Independent units, such as the Independent Evaluation Unit, Integrity Unit, and Redress Mechanism established to ensure accountability, while the Independent Technical Advisory Panel (iTAP) provides final technical assessments of project proposals.

The GCF works with key in country and international partners. Firstly, with NDAs/Focal Points who serve as the country's interface with the Fund, ensuring alignment with national priorities and developing country programmes. Secondly, with Accredited

¹ Long-Term Low Emissions Development Strategies

Entities, which are public or private organizations that meet standards on fiduciary management, environmental and social safeguards, governance, and gender. They design and implement GCF projects in partnership with countries.

There are several, funding windows and access modalities, via which GCF provides finance through:

- **Readiness and Preparatory Support** for capacity building.
- **Project Funding** for full-scale investments.
- **Project Preparation Facility** for project development and design.

The session also acknowledged persistent barriers, including complex and lengthy access procedures, limited national institutional capacity, imbalances in allocation, unclear co-financing requirements, and a fragmented climate finance architecture.

2.2 GCF Project Case Studies Exploring Climate Impacts and Vulnerabilities

The session combined a presentation by the Sahara and Sahel Observatory (OSS) with technical insights from ClimFin, focusing on the concepts of vulnerability, risk, and adaptation in the context of climate finance and project design.

OSS presented its experience with their Guinea Bissau's project, which was their first GCF project, designed to strengthen climate resilience. The project has three core components, each addressing priority vulnerabilities and aiming to enhance the country's adaptive capacity. The case study illustrated how targeted interventions, backed by clear objectives, can meet GCF's requirements while responding to urgent national needs.

The session was followed by a presentation on climate change adaptation. The technical segment clarified the difference between **climate risk** and **vulnerability**:

- Risk is a function of both the probability of a climate hazard occurring and the magnitude of its consequences.
- Vulnerability refers to the susceptibility of people, ecosystems, or systems to be adversely affected by these hazards.

Participants discussed how these concepts are central to building strong adaptation projects, since GCF proposals must demonstrate both the nature of risks faced and the specific vulnerabilities that interventions will address. The session underscored that understanding this relationship is key to developing projects with strong climate rationales and higher chances of funding approval.

2.3 Introduction to GCF NDAs

This session introduced participants to the role and responsibilities of National Designated Authorities (NDAs) in relation to GCF. It outlined the NDA's mandated functions, required capacities, strategic roles, and practical experiences from other countries.

As the national focal point to the GCF, the NDA ensures that country priorities are reflected in all GCF engagements. Its responsibilities include:

- Recommending proposals to the GCF Board within the context of national climate strategies.
- Facilitating the nomination of entities seeking GCF accreditation.
- Ensuring consistency of funding proposals with national plans and priorities.
- Implementing the **No-Objection Procedure (NOL)**.
- Acting as the primary channel of communication with the GCF.

Effective NDAs need the ability to align GCF funding with country programmes and development strategies, possess knowledge of project cycles, fiduciary standards, gender principles, and environmental and social safeguards, have access to climate expertise and financial instruments, and maintain strong monitoring and oversight functions.

A **GCF Country Programme** is a key tool for establishing ownership and setting national priorities. It outlines, the national climate and sustainable development context, the adaptation and mitigation priorities aligned with GCF result areas, project pipeline and accreditation priorities and institutional needs.

The NDA facilitates the nomination of Accredited Entities (AEs), ensuring candidates meet GCF requirements before submission. It also plays a role in enabling access to Readiness and Preparatory Support to strengthen institutions and support project pipelines.

All GCF funding proposals must include an NDA-issued **No-Objection Procedure (NOL)**, confirming alignment with national priorities. Each country must establish its own nationally appropriate procedure. The NOL serves as evidence of country ownership and endorsement. Moreover, the NDA also has responsibilities during the funding proposal development, it provides guidance throughout project preparation, ensuring proposals are high quality, consistent with GCF requirements, and supportive of national strategies.

The session presented examples of how NDAs operate in different contexts:

- **Ghana:** NDA housed in the Ministry of Finance, with governance structures to guide policy, technical support, and multi-stakeholder engagement.
- **Niue:** NOL procedure emphasizes alignment with national strategies and country-driven approaches.
- **North Macedonia:** Developed a detailed NDA operations manual and country coordination mechanism to systematize engagement with GCF.
- **Fiji:** Example of practical approaches to implementing NOL procedures.

The NDA plays a central role in linking the GCF with national climate priorities. Its effectiveness depends on strong institutional capacity, transparent procedures, and inclusive stakeholder engagement. Lessons from other countries provide useful models that Eritrea can adapt as it strengthens its own NDA functions and governance mechanisms.

2.4 Group discussion on NOL procedure in Eritrea

The group discussion on the No-Objection Letter (NOL) procedure in Eritrea highlighted the importance of establishing a clear, transparent, and inclusive process to strengthen country ownership of GCF projects. Participants examined who should be involved in the NOL process, the roles and responsibilities required for effective participation, and the information and capacity needs of different stakeholders. The discussion also explored appropriate timelines for reviewing Concept Notes and Funding Proposals, stressing the need to balance thorough technical review with efficiency. Overall, the session underscored that a well-designed NOL procedure will ensure proposals are aligned with Eritrea's national climate priorities while building trust, accountability, and credibility in the country's engagement with the GCF.

Day 3: GCF Project Development

Sessions covered the GCF project cycle, concept notes, funding proposals, and the Project Preparation Facility. Participants explored GCF investment criteria, the Integrated Results Management Framework (IRMF), and tools such as theory of change and logical frameworks. Group exercises focused on applying GCF criteria to Eritrean project ideas.

3.1 Introduction to the GCF proposal development process

The session provided an overview of the proposal development process for the GCF, outlining how countries can effectively access and utilize climate finance. The GCF provides funding to Accredited Entities (AEs), which are responsible for developing and implementing projects and programmes. National Designated Authorities (NDAs) are engaged throughout the process to ensure projects align with national priorities and maintain country ownership.

The GCF Readiness and Preparatory Support Programme (RPSP) was highlighted as a key mechanism to strengthen national capacity to access, manage, and use GCF funds. Key areas of support include strengthening NDAs and Focal Points, building the capacity of Direct Access Entities (DAEs), developing strategic frameworks, and supporting project preparation. Countries can access up to USD 7 million over four years through the programme, while DAEs can receive up to USD 1 million, and Least Developed Countries (LDCs) and Small Island Developing States (SIDS) can access an additional USD 320,000 for human and technical capacity building.

The role of Delivery Partners (DPs) was also discussed. These are entities approved by the GCF to provide technical and operational support to countries in implementing readiness activities. DPs are selected by NDAs based on their alignment with national climate priorities and provide support in capacity building, project pipeline development, and grant management.

The presentation then introduced the GCF Project and Programme Activity Cycle, which consists of ten stages:

1. Country Engagement: Aligning projects with national climate objectives;

2. Project Generation: Issuing requests for proposals and building partnerships;
3. Concept Note Submission and Screening: Where AEs submit concept notes, and the Secretariat reviews them for alignment with GCF investment criteria;
4. Technical review and appraisal;
5. Review of proposal by the Independent Technical Advisory Panel (iTAP);
6. GCF Board project approval;
7. Legal arrangements;
8. Disbursement;
9. Implementation.

Concept Notes (CNs) were emphasized as a valuable step in the process. They provide a short summary of proposed projects and allow the Secretariat to give early feedback before significant resources are committed. Secretariat feedback can result in three outcomes: alignment and readiness to proceed to full proposal development, a request for further development, or a determination that the project is not aligned with GCF priorities.

Once projects are ready, Funding Proposals (FPs) must be submitted. These are comprehensive documents containing detailed technical, financial, environmental, and social information. Proposals must align with national priorities and include a no-objection letter (NOL) from the NDA.

To help countries prepare high-quality proposals, the Project Preparation Facility (PPF) provides both financial and technical assistance. Support can be accessed either through PPF Funding, which includes grants, repayable grants, or equity for AEs, or through PPF Services, where the GCF arranges project preparation support through qualified consultants.

The session also highlighted the Simplified Approval Process (SAP), which offers a streamlined pathway for small-scale, low-risk, high-impact projects. To qualify, projects must request no more than USD 25 million of GCF finance and present minimal or no environmental and social risks.

The GCF provides funding through multiple financial instruments, including grants, concessional loans, equity, guarantees, and results-based payments. Projects are classified by size into micro (under USD 10 million), small (USD 10–50 million), medium (USD 50–250 million), and large (over USD 250 million).

3.2 Key Policies and Frameworks emphasising the Integrated Results Management Framework (IRMF)

Participants were introduced to the six GCF investment criteria, which are all considered equally important during project appraisal. Practical examples from the OSS Guinea project were shared with participants to illustrate how the investment criteria and IRMF can be applied in real project design and implementation.

The first criterion, **Impact Potential**, measures a project's contribution to GCF objectives, both in mitigation (through emission reductions) and adaptation (by

improving climate resilience). Projects must quantify direct and indirect beneficiaries and demonstrate how they will reduce loss of lives, livelihoods, and assets due to climate risks.

Paradigm Shift Potential assesses whether a project can catalyse systemic change beyond a single intervention. It focuses on opportunities for scaling up, replication, creation of an enabling environment, knowledge generation, and alignment with global pathways that limit warming to below 2°C.

Sustainable Development Potential looks at a project's co-benefits, including environmental, social, and economic impacts. Proposals must reflect gender-sensitive development impacts and show how they contribute to the achievement of relevant Sustainable Development Goals (SDGs).

The **Needs of the Recipient** criterion examines the vulnerability and financing needs of the country and targeted communities. It considers the absence of alternative funding sources and highlights the need for institutional capacity strengthening to implement projects effectively.

Country Ownership evaluates whether a project aligns with national climate strategies, existing policies, and stakeholder priorities. It also considers the capacity of implementing and executing entities, as well as the level of civil society engagement.

Finally, **Efficiency and Effectiveness** examine the cost-effectiveness and financial viability of the project, its ability to mobilize co-financing, and its long-term sustainability. It encourages proposals to follow industry best practices in their design and implementation.

Participants were provided with practical recommendations for developing stronger proposals. They were encouraged to invest in robust background work, including feasibility studies, climate analyses, and baseline assessments, as the quality of these inputs directly affects the quality of proposals. Early stakeholder engagement was emphasized, ensuring that women, men, youth, and marginalized groups are consulted from the start of project design.



The session highlighted the importance of leveraging existing data from past and ongoing initiatives to strengthen project rationale and ensure alignment with national priorities. Participants were urged to promote country ownership by strengthening national institutions and enhancing their ability to access, manage, and implement climate finance.

3.3 Key ingredients in successful GCF project development concepts in GCF project development

This session focused on understanding the fundamental steps of climate change project preparation and introduced practical tools to guide participants through the process. The aim was to help participants move from project ideation to fully developed proposals that align with national strategies and meet international funders' requirements, such as the Green Climate Fund and the Adaptation Fund.

Participants were introduced to the project cycle, as well as 10 key steps to project preparation, all based on practical experience:

1. **Ideation and Linking to Strategies:** Projects should originate from existing policy and strategy frameworks such as NDCs, National Adaptation Plans, Disaster Risk Reduction Plans, and sectoral strategies. Participants were encouraged to ensure projects directly contribute to national development priorities, sectoral objectives, and GEDSI considerations.
2. **Research on Existing and Pipeline Projects:** Highlights the importance of mapping past, ongoing, and planned projects (AF, GCF, AfDB, etc.) to identify gaps, build on lessons learned, and coordinate with other stakeholders to avoid duplication and maximize impact.
3. **Building the Evidence Base:** Emphasized the need to gather robust data on climate processes at global, national, and subnational levels from credible sources (government agencies, universities, NGOs). This evidence underpins the climate rationale, linking observed and projected physical impacts with socioeconomic vulnerabilities.
4. **Describing Impacts and Conducting Impact Chain Analysis:** Participants were reminded of the importance of impact chain analysis, which helps map out the relationships between climate hazards, direct and indirect impacts, and affected systems. Best practices for developing a sound climate rationale were shared, stressing that projects must clearly show how climate change is the root cause of the problem addressed.
5. **Defining the Problem and Theory of Change:** Projects must be built on a well-defined development problem, supported by evidence and cause-effect relationships. Tools such as problem trees and objective trees were introduced to help participants articulate core problems, identify drivers and effects, and formulate interventions.
6. **Identifying Objectives:** Participants were guided on how to turn problems into clear, measurable objectives and ensure that proposed interventions are logical, sufficient, and efficient uses of public funds.
7. **Conducting Economic Analysis:** Economic and financial analysis techniques were introduced, such as Cost-Benefit Analysis (CBA), Cost-Effectiveness Analysis (CEA), and Multi-Criteria Analysis (MCA), to assess project viability, distribution of benefits, and risk mitigation strategies.
8. **Economic and Social Safeguards:** Participants learned the importance of gender mainstreaming throughout the project cycle was emphasized, with examples of how climate impacts men and women differently and how women can act as change agents for climate resilience.

9. Monitoring, Evaluation, and Learning (MEL): It was stressed the need to set SMART indicators to track results, ensure accountability, and capture lessons learned.
10. Developing a Logical Framework (LogFrame): Finally, participants were introduced to the LogFrame tool, which systematically links project activities, outputs, outcomes, and impacts. It was presented as a critical tool for proposal writing, monitoring, and adaptive management.

Participants were then grouped in teams to develop hypothetical project idea papers based on the 10 steps. This were shared on day 4 in a plenary session.

Day 4: Project Presentation and Stakeholder Consultations

The final day focused on structured consultations to assess Eritrea's institutional strengths and needs. Participants shared on-going project identification based on the 10-steps methodology introduced the prior day to explore alignment with national priorities and opportunities for collaboration. Key discussions also revolved around potential national institutions for accreditation as Direct Access Entities (DAEs). The workshop concluded with closing remarks from Director General Mr. Kibrom and administration of the post-training survey.

4.1 Group presentation of identified projects

Group 1: Coral Reef Restoration in Irafle

Problem Statement	The proposed pilot project focuses on coral reef restoration in Irafle, a Red Sea coastal area of Eritrea, under the Ministry of Marine Resources. It aims to address coral bleaching and associated biodiversity loss through adaptive marine conservation, while also improving community resilience and livelihoods.
Impact Chain Analysis	• Drivers: Rising sea temperatures, ocean acidification, and poor coral nursery management. • Hazard: Coral bleaching. • Impacts: Biodiversity loss, habitat degradation, reduced water quality, decreased carbon sequestration, displacement, and social vulnerability—particularly affecting women and children reliant on fisheries.
Gender Dimension	Women and children are the main fishers in the area and face heightened risks from declining fish stocks, leading to reduced income, food insecurity, and child malnutrition.
Problem tree	Problem tree: Increased coral reef bleaching in Hirigigo: Ocean acidification, increased temperature, insufficient coral nurse management. Effect: Loss of diversification, loss of habitat, decreased water quality, reduced carbon sequestration, displacement.
Objective tree	<i>Increased resilience in coastal area of Irifia.</i> Increase capacity building activity this will lead to awareness of the community and establishment of nursery with equipment. This will lead to improved water quality, enhanced carbon sequestration, loss of

	biodiversity reduced, habitat reformed, enhanced ecosystem in the area. Mortality and poverty rates reduced.
Complementarity	Development of climate resilient fishery, community based marine conservation measures. Encourage reef debris removal, promote researches in coral reefs.
SDGs	Contributes to SDGs: No Poverty (SDG 1), Zero Hunger (SDG 2), Good Health (SDG3), Gender Equality (SDG 5), Climate Action (SDG 13), and Life Below Water (SDG 14).
Paradigm Shift Potential	By embedding local participation, traditional knowledge, and gender-responsive approaches, the project seeks to pioneer coral reef conservation in Eritrea, with potential for scaling up nationally. The project will create job opportunities, sequestration of blue carbon, planting mangroves.
Alignment	Aligned with Eritrea's National Biodiversity Strategy and Action Plan (NBSAP)
Next Steps	• Gather scientific and socio-economic data on coral bleaching and community vulnerability. • Strengthen gender analysis with robust data. • Refine the problem tree and align with national policies and ongoing initiatives. • Draw lessons from successful regional projects to inform this pilot design.

Group 2: C2C project

Problem Statement	The marine sector in the Red Sea is facing significant climate-related challenges. Rising sea surface temperatures and recurring heatwaves are accelerating coral reef degradation, leading to declining fish productivity and biodiversity loss. This directly threatens the livelihoods of small-scale fishers, particularly women who rely on harvesting snails and sea cucumbers.
Impact Chain Analysis	• Driver: Sea surface temperature increases and marine heatwaves • Hazard: Coral reef degradation • Exposure Pathway: Dependence of local communities on reef-based fisheries • Impacts: Reduced fish productivity, biodiversity loss, food insecurity, and declining tourism revenues
Gender Dimension	Women engaged in snail and sea cucumber collection are among the most affected groups, alongside small-scale fishers whose incomes and food security are highly vulnerable to marine ecosystem decline.
Problem tree	Problem tree: Declining fish productivity and biodiversity in the Red Sea due to coral reef degradation

	Effect: Reduced fish catches and declining incomes of small-scale fishermen, vulnerability of women who rely on harvesting snails and sea cucumbers, loss of biodiversity and weakened marine ecosystems, decline in tourism dependent on healthy coral reefs, increased food insecurity and poverty in coastal communities
Objective tree	<i>Strengthened resilience of fisheries and coastal communities in the Red Sea coral islands.</i> Transition from capture fisheries to sustainable aquaculture and marine-culture systems, upgrade the capacity of small-scale fishermen, including training and equipment support, establish aquaculture farms, hatcheries, and cold-chain storage facilities, restore coral reefs to improve marine biodiversity and ecosystem health, promote sustainable tourism linked to healthy reefs.
Complementarity	On-going coral reef studies. Data (from a research center) shows that in 2003 there was extensive coral reef degradation. There is a national project in the area and a FAO initiative on seaweed in the same region.
SDGs	Contributes to SDGs: No Poverty (SDG 1), Zero Hunger (SDG 2), Good Health (SDG3) and Life Below Water (SDG 14).
Paradigm Shift Potential	The project promotes a transformative shift by reducing reliance on capture fisheries and fostering sustainable aquaculture systems. This transition is expected to create resilient livelihoods, support biodiversity restoration, and open new economic opportunities for coastal communities.
Alignment	Aligned with Eritrea's NAP and NDC
Next Steps	• Conduct a value chain analysis for aquaculture, including cold-chain storage solutions • Align interventions with relevant national policies and strategies • Develop a sustainability plan for hatcheries and aquaculture facilities • Integrate enabling conditions (policy, institutional, and financial) to ensure long-term impact

Group 3: Solar electrification of rural areas in Areza and Miaduma

Problem Statement	The rural communities in Areza and Miaduma rely heavily on wood fires for lighting, contributing to deforestation, poor air quality, and health problems. The lack of access to electricity limits economic opportunities, affects school attendance—especially for girls—and perpetuates low livelihoods. Women and children are disproportionately impacted by smoke exposure and time lost collecting firewood.
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Impact Chain Analysis	• Driver: Dependence on wood fuel and limited access to electricity • Hazards: Droughts, indoor air pollution, deforestation • Exposure Pathway: Communities relying on firewood for energy, impacting health, education, and livelihoods • Impacts: Respiratory health issues, school absenteeism (particularly among girls), deforestation, limited economic opportunities, low community connectivity
Gender Dimension	Women and children face the greatest burden from firewood collection and indoor smoke exposure. Improved access to electricity will directly benefit girls' school enrolment and women's time allocation for productive activities.
Problem tree	Limited access to electricity, leading to deforestation, poor health, and low livelihoods. Effect: Respiratory health issues, particularly among women and children. school absenteeism, especially for girls, deforestation and environmental degradation, limited economic opportunities and low household income. reduced community connectivity and access to information.
Objective tree	Increased access to sustainable electricity, improving livelihoods, health, and environmental sustainability Strategies to Address Drivers: Install solar mini-grids in 50 village clusters, conduct community consultations and participatory implementation, build local capacity for operation, maintenance, and sustainable energy use, promote awareness and behaviour change on environmental conservation, integrate tree planting and deforestation mitigation measures
Complementarity	Integration with ongoing GEF small grants projects to enhance local energy and environmental initiatives
SDGs	Contributes to SDGs: 7 (Affordable and Clean Energy), 8 (Decent Work and Economic Growth), and 13 (Climate Action).
Paradigm Shift Potential	The project aims to shift households from wood-based energy to clean electricity, improving health, education, and livelihoods while reducing greenhouse gas emissions. It fosters a cultural change toward sustainable energy use, tree conservation, and greater community engagement.
Alignment	Complements government energy initiatives and local conservation program
Next Steps	• Strengthen the climate rationale to highlight emissions reductions and environmental impact • Assess scalability • Include a cost-recovery model for sustainable electricity access • Ensure measurable outcomes in health, education, and environmental conservation.

Group 4: water supply Dahlak Kebi

Problem Statement	The largest island in Eritrea, Dahlak Kebi, face severe freshwater scarcity due to saltwater intrusion in aquifers caused by rising sea levels, compounded by declining rainfall. Thousands of residents lack access to safe and potable water, resulting in malnutrition, health risks, high costs for water collection, migration, and limited access to social services. Women and children in rural communities are particularly affected.
Impact Chain Analysis	• Drivers: Global temperature rise, declining rainfall, dependence on groundwater and rain-fed water systems • Hazards: Drought, salinization of aquifers • Exposure Pathways: Household reliance on unsafe water sources, long distances to potable water • Impacts: Malnutrition, increased mortality, high household water costs, migration, and compromised access to social services
Gender Dimension	Children and women in rural groups will be directly included in the project's interventions, ensuring equitable access to safe water and participation in community awareness activities.
Problem tree	Limited access to safe and potable water due to salinization of groundwater Effects: Malnutrition and health issues, particularly for women and children, increased mortality and vulnerability of rural populations, migration in search of potable water, high costs and effort to access safe water, reduced access to social services and community development
Objective tree	Increased access to safe and potable water for island communities Drivers: Install solar-powered desalination units to provide clean water, implement a distribution system (piped network to community wheels), procure necessary tools and equipment for desalination and water supply, strengthen rainwater harvesting and operate existing systems, conduct community awareness and behaviour-change campaigns (WASH-focused).
Complementarity	Integrate project planning with government water priorities and potential co-financing by UNICEF.
SDGs	Contributes to SDG 6 (Clean Water and Sanitation)
Paradigm Shift Potential	The project represents a shift from reliance on rain-fed water systems to solar-powered desalination, improving both resilience and sustainability of water access for vulnerable communities.
Alignment	Aligned with the NDC, local water policy and the priorities of the Ministry of Land, Water and Environment
Next Steps	• Conduct feasibility challenges: transportation of materials and construction of piping on remote islands.

	• Economic impact and sustainability of operations • Community engagement: fostering responsible water use and long-term maintenance • Desalination as a last-resort solution; alternative water sources should also be explored
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4.2 Self-assessment for DAE identification

This step is critical for entities seeking accreditation, as it allows them to evaluate their institutional capacity, governance structures, and alignment with GCF fiduciary standards, environmental and social safeguards, and gender policies.

During the workshop, participants explored key components of DAE self-identification, including:

- Organizational readiness: Reviewing internal systems, human resources, financial management, and legal frameworks.
- Alignment with GCF standards: Assessing compliance with fiduciary requirements, environmental and social safeguards, and gender-sensitive policies.
- Gender and Environmental Social Safeguards policies
- Gap analysis: Identifying areas where additional capacity building, policy development, or procedural adjustments are needed to meet GCF accreditation requirements.

The self-identification process empowers institutions to make informed decisions about pursuing accreditation, prioritize capacity-building initiatives, and demonstrate their readiness to manage GCF resources effectively. It also provides the NDA and relevant stakeholders with a clear overview of potential DAEs and areas requiring support before formal accreditation applications.

4.3 Closing remarks

Director General Kibrom Weldegebriel expressed appreciation to OSS for organizing the workshop and facilitating the NDA capacity strengthening process. He thanked the facilitators for the knowledge and guidance provided on GCF procedures, project initiation, stakeholder engagement, and the no-objection letter (NOL) process. Mr. Kibrom highlighted that the training was interactive and valuable in providing a basic understanding of project development and DAE requirements. Moving forward, the NDA recognizes the need to develop a national programme, prepare two concept notes following GCF procedures, and continue building institutional capacity. He emphasized the importance of closely working with existing implementing entities and the timely conclusion of related projects, including the NAP.

Annex 1. Pre and post survey analysis

The pre- and post-training surveys measured participants' knowledge and confidence across ten core areas of climate finance and GCF engagement. Results demonstrate a significant increase in understanding and capacity, reflecting the effectiveness of the workshop in meeting its learning objectives.

Pre-Training Findings

Before the training, participants reported relatively low levels of knowledge across most topics, with scores ranging from **1.33 to 3.47**. The highest baseline understanding was in the area of science and impacts of climate change (3.47), reflecting participants' existing familiarity with climate-related challenges. In contrast, technical aspects of the GCF, such as accreditation requirements and fiduciary standards (1.33), proposal development processes (1.40), and investment criteria/IRMF (1.40), showed the lowest levels of prior knowledge.

Post-Training Findings

Following the training, average scores rose significantly across all areas, ranging from **3.65 to 4.46**. The strongest improvements were recorded in participants' understanding of:

- Role and responsibilities of NDAs (from 1.86 to 4.46)
- Science and impacts of climate change (from 3.47 to 4.45)
- GCF proposal development processes (from 1.40 to 4.09)
- GCF accreditation requirements and fiduciary standards (from 1.33 to 4.03)

Notably, participants also demonstrated considerable gains in areas critical for project design, such as theory of change and logical frameworks and environmental and social safeguards, gender, and indigenous people's policies.

Participants highlighted that the most useful topics covered in the workshop were GCF project proposal development, GCF investment criteria, and climate finance, along with practical sessions on roles and responsibilities of the NDA, climate change impacts, and GCF ESS standards, gender, and indigenous policies, as these provided them with actionable knowledge for developing stronger, country-aligned climate projects.

Participant Feedback

In addition to knowledge gains, survey feedback confirmed strong satisfaction with the training approach and delivery:

- 14 of 16 participants felt their understanding of the GCF had significantly improved.
- 12 of 16 participants reported feeling confident or very confident in their ability to engage with the GCF.
- 13 of 16 participants expressed confidence in their ability to support GCF proposal development.
- All 16 participants rated the quality and delivery of the training as excellent or good.

- All participants found the group exercises helpful or very helpful.
- All participants appreciated the balance between presentations and discussions.

While progress was evident in all areas, monitoring and evaluation for GCF projects showed the lowest post-training score, suggesting this is an area where further capacity-building and hands-on practice would be beneficial. Similarly, the GCF Investment Criteria and IRMF improved strongly (from 1.40 to 3.90) but still reflect room for deeper engagement.

Conclusion

Overall, the training successfully strengthened participants' knowledge and capacity across all key areas of climate finance and GCF processes, with marked improvements in technical topics where baseline understanding was lowest. These results highlight the value of continued training, with future sessions potentially focusing more deeply on monitoring and evaluation and GCF investment criteria to consolidate learning.

Table 1. Pre and post-survey responses

	Pre-training	Post training
Science and impacts of climate change	3.47	4.45
Climate finance sources and mechanisms	1.94	4.03
The mandate and structure of the Green Climate Fund (GCF)	1.74	4.15
The role and responsibilities of Nationally Designated Authorities to the GCF	1.86	4.46
GCF proposal development processes	1.4	4.09
GCF Investment Criteria and Integrated Results Management Framework (IRMF)	1.4	3.9
Developing theory of change and logical frameworks for GCF projects	1.73	4.15
GCF environmental and social safeguards, gender, and indigenous people's policies	1.73	4.15
Monitoring and evaluation for GCF projects	1.67	3.65
GCF accreditation requirements and fiduciary standards	1.33	4.03

Annex 2. Workshop participant list

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